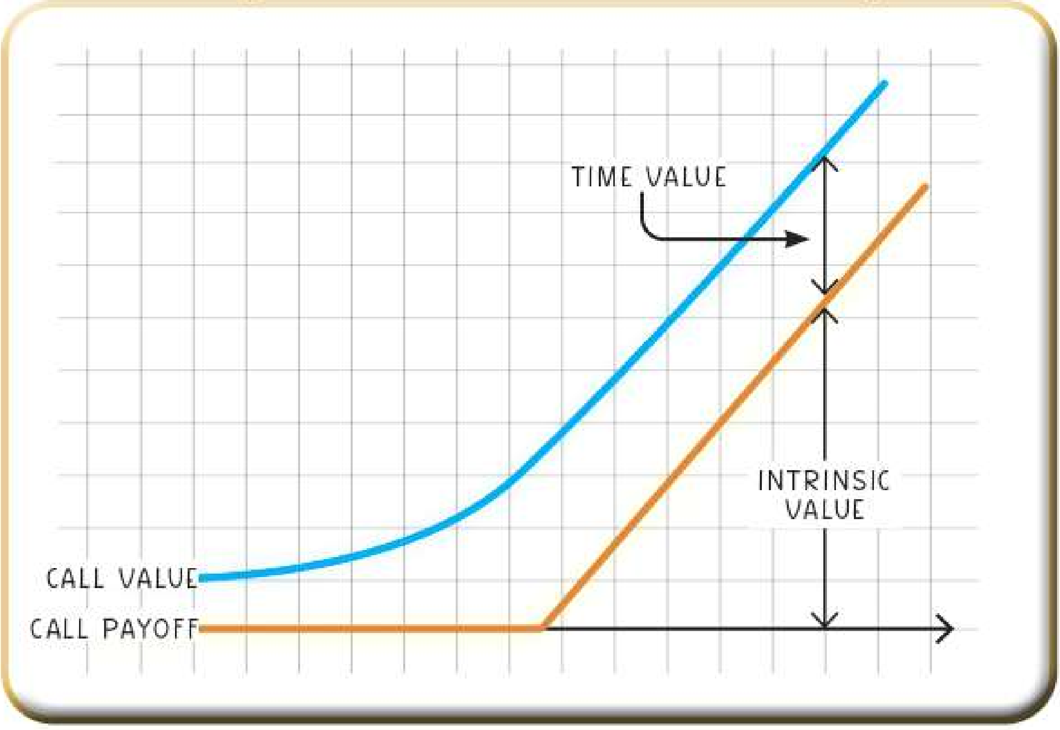
TIME VALUE

> “THE TIME VALUE PREMIUM IS THE PREMIUM THAT OPTION BUYER PAYS TO THE OPTION SELLER TO COMPENSATE FOR THE RISK THAT THE SELLER IS TAKING.”



The option seller is assuring limited losses and unlimited profit potential to the buyer based on stock price movement in a certain time frame and is being compensated for the same. The buyer pays this to enjoy unlimited profit potential and limited losses.

For instance,
as we use the option chain for values in the above example, we saw that the premium was ₹199 and in-built profits were ₹52.

Now, since the intrinsic value part is ₹52, the surplus must be the time value.

Time Value = Premium amount – Intrinsic value

= ₹199 – ₹52

= ₹147